

THE GOLD RUSH

India's mega-corporations, including those run by the Birlas, Ambanis and Tatas, are now setting up private equity funds to tap into emerging opportunities, new trends and of course, returns

■ **By Nandini Vaish**

In the fabled 1990s, they were the cupids who married idea with moolah to deliver an enterprise. In Silicon Valley and elsewhere, inspiration took wings, fuelled by money invested by deep pockets. The money mostly came from banks and high-net worth groups that saw rationale and returned to invest in new ideas. It was exciting, and in some sense, was the closest you could get to adventure inside a boardroom. Rarely did the pockets belong to a corporate house or an index marquee. That seems to be changing. Almost like in the California of the 1800s, there seems to be a gold rush as mega-corporations hasten to set up private equity (PE) funds.

Every big name has either set up a fund or

is planning to do so. Money and genre no bar, corporates are rushing to invest in new ideas. Over 366 PE firms are operating in India now and another 69 plan to start operations.

So retail magnate Kishore Biyani teamed up with Sameer Sain, a former Goldman Sachs MD and a seasoned PE dealmaker, to set up Future Capital Holdings (FCH) in October 2005. FCH owns a real estate fund called Kshitij, while it advises three others based in Mauritius—Indivision, Horizon and Indus. Overall, FCH is managing monies of over \$1.4 billion (Rs 5,600 crore). Among its many acquisitions, Indivision picked up a 4.9-per cent stake in Dish TV for Rs 250 crore in December last year. Biyani isn't the only corporate mogul expanding his repertoire. Large family-owned businesses such as the Aditya Vikram Birla Group, the Reliance Anil Dhirubhai Ambani Group (ADAG) and the Tatas are eyeing a piece of the PE or alternative fund pie.

Most recently, TVS Electronics tied up with Shriram Group to set up TVS-Shriram, a Rs 500-crore fund. "It's a case of have-money-will-invest," says Arun Natarajan,

founder and CEO, Venture Intelligence, a PE and venture capital research firm. Lured by rising consumerism and an impressive growth in gross domestic product, PE players are pouring money into Indian companies. According to Venture Intelligence, \$14.2 billion (Rs 56,800 crore) was invested in 2007 in as many as 387 deals, up from \$7.4 billion (Rs 29,600 crore) in 299 deals in 2006. Ten years ago, the average deal size was \$3 million (Rs 12 crore); today it is \$40 million (Rs 160 crore). "Nowhere in the world is so much capital consumed," says Gopal Srinivasan, director, TVS Electronics. He calls his fund a growth fund and is looking forward to investing in companies worth Rs 200-250 crore, helping them with capital as well as technical expertise.

Not surprisingly, moolah masters ADAG too jumped into the fray, with Reliance Technology Ventures (RTVL), investing in *Yatra.com*, an online travel portal, in 2006. Their fund size is not limited by numbers. RTVL is headed by 37-year old Harshal Shah, a former IBM executive, who was handpicked by Anil Ambani himself. Not only will RTVL



THE INDIAN PE BOOM

Every big name in Indian business has either set up a fund or plans to do so

PARENT GROUP	FUTURE	ADITYA VIKRAM BIRLA	TATA SONS	RELIANCE ANIL DHIRUBHAI AMBANI	TVS ELECTRONICS & SHRIRAM
PE Holding Company/ Fund	Future Capital Holdings • Kshitij • Indivision • Horizon • Indus	AV Birla • TGS Investment & Trade	Tata Capital	Reliance Technology Ventures	TVS-Shriram • Growth Fund
Headed by	Sameer Sain	Bharat Banka	Praveen Kadle	Harshal Shah	Gopal Srinivasan
Size of the fund	Rs 5,600 crore	Still building the fund	Undisclosed	Unlimited	Rs 500 crore

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